

- Section C shows the re-estimated amount of the previously reported reserves based on experience as of the end of each succeeding year. The estimate is increased or decreased as we learn more about the frequency and severity of claims.
- Section D, cumulative net redundancy, represents the aggregate change in the estimates for all years subsequent to the year the reserves were initially established. For example, reserves established at December 31, 1996, had developed a \$379 million redundancy over 10 years, net of reinsurance, which was reflected in income over the 10 years. The table shows redundant reserves as a negative number. The effects on income in 2006, 2005 and 2004 of changes in estimates of the reserves for loss and loss expenses for all accident years are shown in the reconciliation below.

In evaluating the development of our estimated reserves for loss and loss expenses for the past 10 years, note that each amount includes the effects of all changes in amounts for prior periods. For example, payments or reserve adjustments related to losses settled in 2006 but incurred in 2000 are included in the cumulative deficiency or redundancy amount for 2000 and each subsequent year. In addition, this table presents calendar year data, not accident or policy year development data, which readers may be more accustomed to analyzing. Conditions and trends that have affected development of the reserves in the past may not necessarily occur in the future. Accordingly, it may not be appropriate to extrapolate future redundancies or deficiencies based on this data.

Differences between the property casualty reserves reported in the accompanying consolidated balance sheets (prepared in accordance with GAAP) and those same reserves reported in the annual statements (filed with state insurance departments in accordance with statutory accounting practices – SAP), relate principally to the reporting of reinsurance recoverables, which are recognized as receivables for GAAP and as an offset to reserves for SAP.

(In millions)		Calendar year ended December 31,										
		1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006
A. Originally reported reserves for unpaid loss and loss expenses:												
Gross of reinsurance	\$	1,824	\$ 1,889	\$ 1,978	\$ 2,093	\$ 2,401	\$ 2,865	\$ 3,150	\$ 3,386	\$ 3,514	\$ 3,629	\$ 3,860
Reinsurance recoverable		122	112	138	161	219	513	542	541	537	518	504
Net of reinsurance	\$	<u>1,702</u>	<u>\$ 1,777</u>	<u>\$ 1,840</u>	<u>\$ 1,932</u>	<u>\$ 2,182</u>	<u>\$ 2,352</u>	<u>\$ 2,608</u>	<u>\$ 2,845</u>	<u>\$ 2,977</u>	<u>\$ 3,111</u>	<u>\$ 3,356</u>
B. Cumulative net paid as of:												
One year later	\$	453	\$ 499	\$ 522	\$ 591	\$ 697	\$ 758	\$ 799	\$ 817	\$ 907	\$ 944	
Two years later		732	761	833	943	1,116	1,194	1,235	1,293	1,426		
Three years later		884	965	1,067	1,195	1,378	1,455	1,519	1,626			
Four years later		992	1,075	1,207	1,327	1,526	1,614	1,716				
Five years later		1,049	1,152	1,283	1,412	1,623	1,717					
Six years later		1,093	1,205	1,333	1,464	1,680						
Seven years later		1,123	1,239	1,366	1,496							
Eight years later		1,146	1,260	1,390								
Nine years later		1,159	1,279									
Ten years later		1,175										
C. Net reserves re-estimated as of:												
One year later	\$	1,582	\$ 1,623	\$ 1,724	\$ 1,912	\$ 2,120	\$ 2,307	\$ 2,528	\$ 2,649	\$ 2,817	\$ 2,995	
Two years later		1,470	1,551	1,728	1,833	2,083	2,263	2,377	2,546	2,743		
Three years later		1,405	1,520	1,636	1,802	2,052	2,178	2,336	2,489			
Four years later		1,380	1,465	1,615	1,771	2,010	2,153	2,299				
Five years later		1,326	1,466	1,608	1,757	1,999	2,127					
Six years later		1,333	1,463	1,602	1,733	1,992						
Seven years later		1,333	1,460	1,577	1,739							
Eight years later		1,332	1,435	1,593								
Nine years later		1,305	1,456									
Ten years later		1,323										
D. Cumulative net redundancy as of:												
One year later	\$	(120)	\$ (154)	\$ (116)	\$ (20)	\$ (62)	\$ (45)	\$ (80)	\$ (196)	\$ (160)	\$ (116)	
Two years later		(232)	(226)	(112)	(99)	(99)	(89)	(231)	(299)	(234)		
Three years later		(297)	(257)	(204)	(130)	(130)	(174)	(272)	(356)			
Four years later		(322)	(312)	(225)	(161)	(172)	(199)	(309)				
Five years later		(376)	(311)	(232)	(175)	(183)	(225)					
Six years later		(369)	(314)	(238)	(199)	(190)						
Seven years later		(369)	(317)	(263)	(193)							
Eight years later		(370)	(342)	(247)								
Nine years later		(397)	(321)									
Ten years later		(379)										
Net liability re-estimated—latest	\$	1,323	\$ 1,456	\$ 1,593	\$ 1,739	\$ 1,992	\$ 2,127	\$ 2,299	\$ 2,489	\$ 2,743	\$ 2,995	
Re-estimated recoverable—latest		183	198	224	230	259	532	568	547	551	517	
Gross liability re-estimated—latest	\$	<u>1,506</u>	<u>\$ 1,654</u>	<u>\$ 1,817</u>	<u>\$ 1,969</u>	<u>\$ 2,251</u>	<u>\$ 2,659</u>	<u>\$ 2,867</u>	<u>\$ 3,036</u>	<u>\$ 3,294</u>	<u>\$ 3,512</u>	
Cumulative gross redundancy	\$	<u>(318)</u>	<u>\$ (235)</u>	<u>\$ (161)</u>	<u>\$ (124)</u>	<u>\$ (150)</u>	<u>\$ (206)</u>	<u>\$ (283)</u>	<u>\$ (350)</u>	<u>\$ (220)</u>	<u>\$ (117)</u>	